

**Sample Questions for Small Municipal Drinking Water Systems
(September 2025 – Vermont Rural Water Association)**

Recordkeeping

- Do you have the following documents and do you review and update them on a regular basis?
 - Bylaws (for Fire Districts)
 - Operation & Maintenance (O&M) Manual*
 - Emergency Response Plan*
 - Source Protection Plan*
 - Asset Management Plan** or Long-Range Plan

**Required by state/federal law*

***Required for certain grant/loan programs*

- What other policies/procedures are in place?
- Can you categorize your connections? Residential vs commercial/industrial?
- Is your distribution system and infrastructure (water mains, valves, curb stops, service lines, etc.) mapped? What format (paper maps, as-builts, GIS, etc.)? Do you have a map of your service area and/or an outline of the extent of your distribution system? Are maps updated when repairs or additions are made?
- Do you keep records of repairs and equipment purchases including dates, materials, contractors, vendors, etc.?
- Is there a schedule to replace and repair large equipment and other infrastructure, and saving for capital improvements?
- Emergency preparation: Are you a member of [VT WARN](#)? Have you contacted your town's [Emergency Management Director](#)?
- Do your bylaws or other policies require everyone within your service area boundaries to connect to your system? Are there grandfathered residents with private water sources within your service area?
- Who prepares your annual report? When is your annual meeting?

- Do you follow proper meeting procedures?

Financial planning

- Who pays the bills/invoices customers? Town office? External bookkeeper? Board treasurer?
- What is your rate structure? Do you have a rate schedule?
- How often are bills sent?
- What happens if bills are not paid in a timely manner? Do you do delinquent collections? Shut-offs?
- How many overdue accounts do you currently have? What is the dollar amount of unpaid bills?
- Are your rates adequate to cover operational expenses plus loan/debt repayment?
- When were your rates last reviewed and adjusted?
- Do you have a “rainy day” fund or capital savings account?
- What loans and debts do you currently have?
- Do you track allocations?
- Do you know how much excess capacity you have?
- Have you had an audit or other financial statement analysis by an accountant?
- Who is your insurance provider and is your policy up-to-date?

(GOAL: The system establishes and maintains an effective balance between long-term debt, asset values, operations and maintenance expenditures, and operating revenues. Rates are adequate to pay its bills; put some funds away for both future capital expenditures and unanticipated issues; and maintain, repair, and replace its equipment and infrastructure as needed. The system discusses rate requirements with its customers, decision making authorities, and other key stakeholders.)

Succession planning

- Who is/are your operator(s)? Are they properly certified? If it is a contract operator, is there a current signed contract in place? Is there someone local (within 30 minutes) who can help in an emergency? Is there a backup operator?

- Who is your board (Prudential Committee, Selectboard, Village Trustees, etc.)? How many board members do you have? Does the board have any vacant seats? Do you have written board policies or responsibilities as water board members?
- Do you have a succession plan for operators, board members, and other financial/administrative functions? Have you discussed future plans of operator and board members (anticipated retirements, etc.)?
- Have you talked to neighboring systems? Can you combine forces on a backup operator? Is more collaboration possible in the near future?
- If the operator(s) is/are an employee, do you offer competitive wages and benefits?
- If the operator(s) is/are an employee of the system, do you have the ability to train new operator(s)? In the case of an anticipated retirement, do you have the financial capacity to pay wages of the current operator plus the new hire for an extended training period?
- Do you have any communication with town and other local officials about your system, workforce challenges, and other concerns?

*(GOAL: The system recruits and retains a workforce that is competent, motivated, and safety-oriented. Opportunities exist for employee skill development and career advancement, and training programs are in place, or are available, to retain and improve their technical and other knowledge. Job descriptions and performance expectations are clearly established (in writing), and a code of conduct is in place and accepted by all employees.) **Remember, many small systems in Vermont will have contract operators – but should have this type of language in the contract*

If the system has operational questions or other questions you can't answer, please feel free to refer them to Vermont Rural Water (802-660-4988 or info@vtruralwater.org)